
Review

Reviewed Work(s): Culture's Consequences: International Differences in Work-Related Values by Geert Hofstede

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performers. In exchange for board representation (influence), financial firms may supply capital at lower interest rates. Positive correlations were found between the number of interlocks and organizational earnings, profitability, and growth.

Chapter 7 considers the implications of the results, especially with reference to antitrust issues. This chapter is the shortest and the weakest in the book.

Pennings is to be commended for accomplishing the difficult task he set for himself. His book is impressive and represents the leading edge of research on interlocking directorates. The conceptualizations are comprehensive, yet concise; the logic of his arguments is rigorous; and the statistical analysis is elegant in its execution. Only a few negative comments need to be made.

The most important finding of his research is the pervasiveness of financial interlocks, particularly the propensity of financial institutions to interlock with the cream of the nonfinancial organizations. On reflection, however, does it not seem logical to hypothesize that effective financial organizations would desire to be most closely linked with other effective organizations? The directors of the best-performing financial organizations would tend to disassociate themselves from the poor performers of the corporate world. In essence, the "resource dependence" theory, which holds that firms heavily dependent on outside financing *would desire to form interlocks* to facilitate access to capital, is not disproven. Such firms simply may be unable to implement or maintain advantageous interlocks over an extended period of time. To clarify this issue, more phenomenological research seems to be in order.

The finding that financial institutions may supply capital at lower interest rates to well-interlocked firms again is not astounding. The existence of the prime rate and preferred borrowers is well documented.

Some readers may infer that interlocking is responsible for effective performance in a cause-effect sense. However, this conclusion is not supported by Pennings's data, nor does Pennings make this claim. His results are cross-sectional correlations and are not causal in nature. Indeed, Pennings offers an appealing alternative hypothesis when he states: "Perhaps shrewd managers realize the advantages of interlocking, but it is their business

acumen, rather than the interlocks, that explains higher effectiveness" [p. 193]. In other words, interlocking may help effective firms to stay effective, but not make them effective.

The data collection period, 1969-1970, is also troublesome. Double-digit inflation, the energy crunch, the changing roles and liabilities of directors in organizational structures, and a host of other factors may have significantly altered the nature of the relationships investigated by Pennings. A follow-up study using 1979-1980 data might be revealing.

The inclusion of other relevant or complementary data might strengthen the arguments presented in this book. For example, Corporate Data Exchange has published the third in a series of manuals detailing the ownership of major American companies. In examining the ownership of banks, one finds that banks quite often are major stockholders of other banks, thus strengthening Pennings's findings on the pervasiveness of financial interlocks.

One other minor complaint about this book concerns the amount of detail presented in the longer chapters, which tends to make the reader's task more difficult. A more summary treatment of salient findings and conclusions both within and concluding these chapters would be helpful.

Overall, I would enthusiastically recommend this book to anyone seriously interested in the study of American business corporations, especially at the Parsonian institutional level. Organizational theorists, doctoral students, academicians in strategic management or business policy, and others will find a wealth of interesting and insightful material. This book is the best in the field and the criticisms offered would lead to only small improvements. *Interlocking Directorates* is a job well done.

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Geert Hofstede. *Culture's Consequences: International Differences in Work-Related Values*. Beverly Hills, Calif.: Sage Publications, 1980, 476 pp., \$29.95.

Given the tremendous growth of multinational enterprise, the need for executives who can effec-

tively manage in multicultural settings has never been greater. Thus it is ironic that we have witnessed relatively little in the way of solid theorizing, conceptualization, and empirical research in the fields of cross-cultural and comparative management since the “golden period” of the late 1960s. Recent work has often been small scale and cross-sectional in design, confined to a handful of favorite countries, blinded by disciplinary parochialism, done in relative isolation, and plagued by serious ethnocentric biases. Many international business educators and managers, as a result, have been finding themselves ill equipped to deal constructively with the mounting challenges of understanding and adjustment posed by cultural diversity.

Culture's Consequences is thus particularly timely. The author is Director, Human Resources, of Fason Europe at Leiden and also a Visiting Professor of Organizational Behavior at INSEAD. Hofstede has produced an ingenious, careful, and richly stimulating book that will certainly be useful to all those concerned with managing multinational and multicultural organizations. Using the world's largest employee attitude data base, he has broadly explored the origins, connotations, and consequences of differences in organizationally relevant thinking and social action that exist between members of 40 different nations. He has taken a truly interdisciplinary approach and—more so than any other cross-cultural scholar to date—has endeavored to integrate his findings with those of others in the field. In my opinion, this is the most valuable book on cultural analysis to be published in a long, long while.

Hofstede demonstrates that national culture matters, that organizations as well as theories of organizational behavior are culture-bound. He argues that people carry “mental programs” that are developed in childhood, reinforced throughout life, and form one of the major building blocks of national cultures. These mental programs affect individual perceptions, goals, beliefs, and behaviors in predictable ways, both inside and outside of the workplace. The ways are defined by Hofstede along four empirically derived dimensions—power distance, uncertainty avoidance, individualism, and masculinity:

Power distance indicates the extent to which a culture accepts that power in institutions and organi-

zations is distributed unequally. In high power distance nations, such as Mexico or the Philippines, one is likely to find greater centralization, taller organization pyramids, closer supervision, and much less in the way of participative management.

Uncertainty avoidance indicates the lack of tolerance in a culture for uncertainty and ambiguity. Greece and Portugal scored high on this dimension, implying the need for greater structuring of activities and more written rules, along with a reduced willingness of managers to make individual and risky decisions.

Individualism indicates the extent to which a culture believes that people are supposed to take care of themselves and remain emotionally independent from groups, organizations, and other collectivities. The United States and Australia, for instance, scored very high on individualism, suggesting that the involvement of individuals with organizations in these cultures is primarily calculative rather than moral, and that policies and practices must allow for individual initiative rather than being based on loyalty or sense of duty.

Masculinity indicates the extent to which masculine values of assertiveness, money, and things prevail in a culture as compared to feminine values of nurturance, quality of life, and people. Equality of the sexes in organizational life will naturally be more difficult to achieve in cultures high on masculinity, such as Japan or Austria, but easier in more feminine cultures, such as Sweden and Norway.

Hofstede lays the support for these dimensions in the first two chapters. Culture is defined as the “collective programming of the mind” and the author thoroughly discusses strategies for operationalizing and dimensionalizing these mental programs in Chapter 1. He turns to data collection and treatment in Chapter 2 and draws a profile of the U.S.-based high-technology multinational firm (in the book disguised with the name HERMES) in which over 117,000 questionnaires surveying demographics, satisfactions, perceptions, and personal goals and beliefs were collected from 88,000 of the firm's host national employees in 67 countries (for reasons of data stability, only 40 countries are analyzed in the book) at two points in time, 1968 and 1972. This is the largest body of cross-cultural survey data ever collected with one instrument and Hofstede describes the painstaking questionnaire translation, survey administration, and statistical analysis problems that had to be overcome.

The real meat of the book dealing with the four cultural dimensions is found in Chapters 3 through 6. The same format is followed in each, with the author first providing theoretical background along with rigorous operationalization of the dimension under consideration in the form of an index derived from questions in the HERMES survey. Mean scores are then reported for each nation, validated against a range of other survey data, and the results are then integrated into a coherent set of connotations or "norms" regarding cultures found at the low and high ends of the index. An inductive search—not always successful—is then made for the origins of national differences, largely by means of correlations with country-level geographic, economic, and demographic indicators. Each chapter concludes with an exploration of the consequences of index differences for society at large, for philosophy and ideology, and for organizations. In the interest of readability, all the purely statistical analyses are assembled in separate sections at the end of each chapter.

The author examines how the four dimensions interact in their effects on culture in Chapter 7. The power distance and individualism indices, for example, are shown to be strongly negatively correlated, which may imply that the two dimensions are not truly independent. Values of the four indices are used to form eight clusters of countries with similar index profiles, in which similar management methods would presumably be effective: More Developed Latin, Less Developed Latin, More Developed Asian, Less Developed Asian, Near-Eastern, Germanic, Anglo, and Nordic. In Chapter 8, the author takes advantage of the fact that the survey data were collected twice over a 4-year period; he is able to show no convergency between countries, but some world-wide shifts such as decreasing power distance and increasing individualism.

Chapter 9, which deals with consequences for policy and research, contains some of Hofstede's most provocative, yet unfinished, ideas. It is here that he attempts to show that the differences demonstrated by his findings have profound consequences for the validity of the transfer of theories and working methods from one country to another. Motivation, leadership, planning and control, organizational design, management development, and humanization of work are among the

areas briefly explored. A lot more effort needs to be devoted to elaborating the practical consequences of cultural differences in each of these areas. Hofstede ends by stressing the special problems associated with managing multicultural organizations and indicating areas for continued research. A "Values Survey Module" is provided and recommended for future cross-cultural studies.

Culture's Consequences, in sum, offers present and prospective managers the opportunity to experience some healthy culture shock, as the book forces the reader to question the universal validity of any given culture's management theories and approaches, whether it be "Theory Z," Mitbestimmung, or matrix management. The book offers educators a new conceptual framework and a bank of data that will be highly useful in teaching; the book should be considered for use as either a basic or supplemental text in comparative and international management courses. Finally, *Culture's Consequences*, as the author admits, constitutes unfinished business. I hope that Hofstede's work will catalyze a much-needed resurgence of scholarly interest in the field of cross-cultural management

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Stephen E. Stephanou. *Management: Technology, Innovation, and Engineering*. Malibu, Calif.: Daniel Spencer Publishers, 1980, 391 pp., \$16.00.

The nation's recent concerns with lagging productivity growth and competing in world markets have increased interest in R&D management. This book is directed toward the manager of an R&D or other high-technology unit. It covers a wide range of R&D management-related topics, which include planning, new product development, staffing, motivation of scientists and engineers, project management, patent policies and trade secrets, and government R&D. The advantage of this wide-ranging approach is that the reader is introduced to a large number of R&D management issues. The disadvantage is that none of the topics is treated in sufficient depth to go beyond an introductory level. In effect, we learn a little about a lot.

The major strengths of the book are clear: it is well written and unswervingly directed to R&D